Nscale: Credit Snapshot (updated 29 Oct 2026)

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Facts as of 29 October 2026 · Built from public primary sources: Nscale S-1 and exhibits (filed 18 Sept 2026), lender and counterparty SEC filings, UK Companies House, Anthropic S-1 (26 Oct 2026), CCIR · Prepared with AI-assisted extraction; analyst review pending

Update since the S-1 (news, 17–20 Oct 2026; not yet in any filing)

- **Microsoft terminated its Loughton (UK) contract.** 23,040 GB300 GPUs, 50 MW expandable to 90 MW, planned for Q1 2027. UK Power Networks said grid capacity would not be available until the early-to-mid 2030s. Both companies confirmed through spokespeople. Microsoft: "This decision relates to a single site." Nscale: no impact on its other Microsoft contracts (Texas, Portugal, Norway). **The value is not disclosed, so the S-1's "up to $43.8B" Microsoft figure is now overstated by an unknown amount.**
- **Anthropic is reportedly in talks for a second ~$45B deal:** a second 460 MW building at Monarch (Vera Rubin GPUs), with a right of first refusal on a third. It is not signed, and Anthropic declined to comment. If signed, Anthropic would be ~$90B of contracted value on one unpowered campus, with financing for the first deal still not secured.
- **Read-across:** this is the delivery risk below playing out. A grid date, not demand, cost the contract, and concentration shifts further towards Anthropic and Monarch.

Bottom line

- **The credit risk is delivery, not leverage.** Borrowed debt on the balance sheet was only **$137M** at 30 June 2026. The real obligations are **$6.5B of customer prepayments** that must be repaid in delivered compute, **$2.6B of leases**, and **$24B of GPU orders** not yet delivered, against **$1.5B of cash**.
- **Borrowing has accelerated since June:** $830M drawn on the $900M revolver, a further $329M on the GPU loan, a $3.1B convertible (incl. $1.0B from NVIDIA), and $4.17B of new facilities.
- **Revenue is concentrated and largely future:** $103.4B of contracted value at 31 Aug, but only $2.6B is active today. Microsoft (up to $43.8B, **less Loughton**) and Anthropic (up to $44.6B) are most of it.
- **Anthropic pays only on delivery, and the financing to deliver is not in place.** Nscale must fund the GPUs and the Monarch (West Virginia) campus first; Anthropic can drop late tranches.
- **Near-term refinancing point:** ~$2.54B of short Dell bridge financing (3–4 month terms from Aug/Sept 2026) is meant to be taken out by the Ward County and North Carolina loans, which can only be drawn once strict conditions are met.

$140.6M	$(1,020)M	25k / 461k	52%
Revenue, H1 2026 (FY25: $33.0M)	Net loss, H1 2026 (FY25: $(762)M)	GPUs active / active + contracted	Revenue from largest customer, H1 2026

1. Capital structure

About **$6.6B of committed loan facilities**, plus the Dell bridge and the convertible. Most US and UK GPU debt sits in special-purpose borrowers and is repaid from a named customer contract.

Facility	Borrower	Size	Drawn (latest)	Pricing	Maturity	Security / repaid from	Lenders
Ward County GPU DDTL	Nscale Ward County Borrower SPV	$1.85B	Undrawn at signing	S+2.375%	Feb 2033	GPUs + Microsoft contract; Moody's Baa1 per CCIR	JPM, GS + 8 banks

North Carolina GPU DDTL	Nscale NC Borrower SPV	$1.20B	Undrawn at signing	S+2.375%	Dec 2031	GPUs + contract (customer redacted)	GS, JPM
GPU Financing Facility	Nscale Services UK Ltd	$1.42B	~$388M (Aug)	S+5.00% (eff. 11.3%)	**2031–32 (disputed)**	All assets; investment-grade contracts only per CCIR	PIMCO, Blue Owl, others
Revolving credit facility	NSCALE PLC (from Jul 2026)	$0.90B	**$830M**	S+1.75%	~2029 per CCIR	All personal property; net leverage ≤ 6.0x	12 banks incl. JPM, GS, MS
Kvandal South DC (Norway)	Nscale Norway DC DA	$0.79B	$107M (Aug)	S+3.00–3.75%	Apr 2033	Data centre building; DSCR ≥ 1.05x	DNB, ABN, Nordea, SEB, Eksfin
Macquarie Iceland	Nscale Services Iceland III ehf	$0.33B	n/d	S+5.50% + 1.18x return floor per CCIR	46 months from first draw	GPUs at Borealis, Blönduós	Macquarie
Macquarie Glomfjord	Nscale Drift II Holdings Ltd	$0.11B	$89M (carrying)	S+7.50% (eff. 22.7%)	Jun 2029	2,304 B200 GPUs per CCIR ; customer Spring (SG)	Macquarie
Dell vendor financing	Ward County + NC SPVs	$2.54B	40 schedules executed	~$35M financing charges	**~Nov 2026 – early 2027**	Equipment; Nscale Global Holdings guarantee	Dell Financial Services
Convertible loan notes	NSCALE PLC	$3.10B	Signed 15 Sept 2026	n/d	Jun 2028 unless converted at IPO	Unsecured	Incl. NVIDIA $1.0B (~16 Nov)

Also: ~$2.35B of further bank commitments agreed in Aug 2026, subject to documentation. Sandton loans repaid (Oct 2025); Series A convertible converted (Oct 2025). n/d = not disclosed.

2. Customers (offtake)

Customer	Contract value	Term	Payment basis	Key terms / risk
Microsoft	up to $43.8B **less Loughton (n/d)**	To Dec 2033; 5–6 yrs per tranche	Fixed price; customers have prepaid	Terminable for cause or insolvency. Backs the Ward County loan. **Loughton (UK) site terminated Oct 2026 over grid delay.**
Anthropic	up to $44.6B	Into 2033	**Pays only on delivery and acceptance**	Financing not secured. Tranches can be terminated if late or below uptime thresholds. Monarch campus, WV. **Second ~$45B / 460 MW deal in talks (Oct 2026).**
NVIDIA	$1.2B	12–48 months	Reserved capacity	Iceland, UK, Norway. NVIDIA is also a shareholder, convertible holder and lease guarantor.
Figure	n/d	From H2 2027	n/d	Up to 100,000 Vera Rubin GPUs; Nscale also investing in Figure.
Spring (SG) Pte. Ltd.	n/d	n/d	Minimum fee per GPU-hour (redacted) per CCIR	Glomfjord cluster; backs the Macquarie Glomfjord loan.

The gap between contracted ($103.4B) and active ($2.6B) value is the delivery risk. Lenders have structured around it: most GPU loans can only be drawn once capacity is commissioned and the named customer's payments start.

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3. Upstream: landlords, suppliers and who depends on whom

Counterparty	Role	What their own filings say	Credit read-across
Ionic Digital (IOND)	Ward County landlord	126-month triple-net lease to Nscale Ward County LLC; 234 MW leased, Nscale must take 89 MW more when available. $87.9M lease revenue in H1 2026.	Landlord's growth plan depends on Nscale. Rent is guaranteed by **NVIDIA up to $860M** for the first five years, backed by a **$470M escrow** from Nscale.
WhiteFiber (WYFI) / Enovum NC-1	North Carolina colocation	Nscale is the **sole contracted tenant** at NC-1; capacity delivery expected Q3 2026.	Two-way dependency: a delay at NC-1 hits both.
KiNRG	Supplier at Ward County	Nscale Ward County LLC = **86% of revenue**.	A concentrated counterparty; service type to be confirmed.
SIN02 seller (Portugal)	Site vendor	€377.8M ($430.7M) of purchase price still owed, mostly due H2 2026.	An unsecured near-term cash call not in "debt".

4. What lenders and investors are marking

- **Loans at par.** PIMCO's Dynamic Income Fund carries $18.9M of a floating-rate Nscale loan at **100.02% of par** (8.66% coupon, 30 June). Blue Owl's three funds hold ~$397M of commitments to the GPU Financing Facility (only ~$14M funded at 30 June).
- **Equity marks diverge.** Blue Owl values Series B preferred at **$16.05/share** (30 June); Fidelity values the same class at **$20.94** (31 July). Series C was issued at $20.39 in March 2026.
- **Lenders are also shareholders.** Blue Owl funds hold both the GPU loan and Nscale preferred equity; NVIDIA is a customer, guarantor, shareholder and convertible holder. Relevant to behaviour in a restructuring.
- **Even the lenders disagree on the GPU loan's maturity:** Feb 2031 (Blue Owl), Aug 2032 (PIMCO), no later than Sept 2032 (S-1 terms).

5. Dates to watch

When	Event	Why it matters
~16 Nov 2026	NVIDIA $1.0B convertible / share closing	Liquidity; ties NVIDIA in further
Nov 2026 – early 2027	Dell bridge schedules end (incl. extensions)	Must be refinanced by the Ward County / NC loans
H2 2026	SIN02 deferred consideration (~$431M)	Cash outflow
27 Jan 2027	Iceland service must commence (per CCIR reading of the facility)	Event-of-default trigger on the Macquarie loan
5 Apr / 30 Jun 2027	Kvandal South target completion / long-stop	Construction risk on the Norway project loan
30 Sept 2027	GPU Financing Facility availability ends	Undrawn commitments fall away
Ongoing	Anthropic financing "within a specified period"	Without it, the $44.6B contract cannot be performed

6. Recent primary-source events (ahead of the news)

- **9 Oct 2026:** NSCALE Ltd re-registered as **NSCALE PLC** (Companies House), three weeks after the S-1.
- **11 Oct:** a GLAS (revolver collateral agent) charge over the plc was satisfied; one remains outstanding.
- **13 Oct:** changes of persons with significant control and a share allotment at Nscale Global Holdings.
- **19 & 23 Oct:** share allotments at NSCALE PLC.
- **18 Oct (news):** Microsoft terminates the Loughton contract over the UK grid delay.
- **20 Oct (news):** Anthropic reported in talks for a second ~$45B Monarch deal.
- **26 Oct:** Anthropic's S-1 confirms the $44.6B commitment and its pay-on-delivery terms.

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7. Open questions

- How much of the $43.8B was Loughton, and were GPUs, financing or Dell schedules tied to it? Is there a termination payment?
- Does Nscale file an amended S-1 reflecting Loughton and any second Anthropic agreement?
- Who is the redacted North Carolina customer, and what is the Iceland customer's credit?
- How will the Anthropic build (Monarch, Vera Rubin GPUs) be financed, and by when?
- Why does PIMCO book its loan to "Nscale AS" (a Norwegian entity) rather than Nscale Services UK Ltd?
- What MW is actually energised today? The S-1 gives active GPUs (25k) and sites (5), not MW.
- The S-1 reports material weaknesses in internal controls over financial reporting (FY2024–25).

How this was built

Every figure is held as a separate sourced statement (value, source document, location, date, method) in a tracker that flags where sources disagree and keeps superseded values as history. Sources: Nscale S-1 and exhibits 10.12–10.25 and 21.1; Companies House profiles, charges and filing history for 32 UK entities; Blue Owl BDC 10-Qs (OBDC, OCIC, OTF, OTIC, OBDC II); PIMCO and Fidelity N-PORT filings; Ionic Digital, WhiteFiber and KiNRG 10-Qs; Anthropic S-1; CCIR (ccir.io) issuer page, used as a cross-check; news reports (Reuters, Telegraph, Guardian, CNBC via SiliconANGLE, TechTarget, Tech Times, Motley Fool) for the October updates, graded below filings. A daily monitor logs new SEC and Companies House filings naming Nscale. Figures marked "per CCIR" have not been independently verified against the underlying document. This is research from public information, not investment advice.

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